

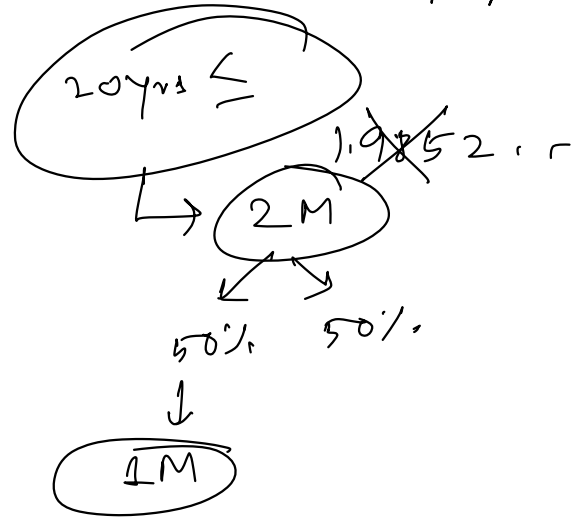
Lec: Guesstimate

↓ ↓
Guess Estimate

- Agenda:
- ① Guesstimate
 - ② Approach to Guesstimate P.S
 - ⇒ ③ Game 24/7 case study
 - ④ iPhone Guesstimate

Guestimate :

20M $\approx$ Bengluru
pop

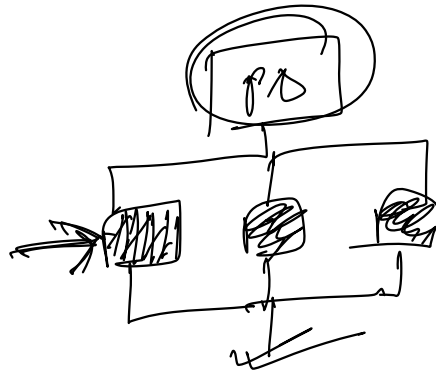


Work Interview Rounds :-

- ✓ ① structured thinking
 - ✓ ② Logical assumption
 - ✓ ③ Mental Maths
 - ✓ ④ Communication
-

Approach a Question :-

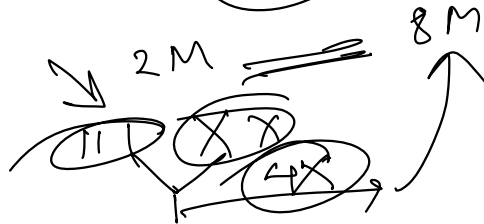
P.S → 1. Clarify
2. Break down the P.S



3. Make assumptions,

4. Consolidate the results

$$\rightarrow 'x' \sim 'y'$$



Problem Stmt:

Games 24/7 had launched an arena based first person shooting game back in the year 2020. The game became very popular among the users in a very short span of time. Now the company intends to launch a similar game where they're introducing a brand new map and some other cool features as well.

You, as a **Product Analyst** hired by Games 24/7, have to prepare a pricing strategy for them, where the Winner gets prize money Rs. 1 lakh and the Runner up gets Rs. 50k for each gaming event.

What should be the per game entry price for a single participant?

Approach:

1. Clarify —
2. Analyze —
3. Break down —
4. Calculate —
5. Validate —

6. Thought process -

Revenue

Expenditure

(A)

Free mode

(paid)
cash players.

(B)

(C)

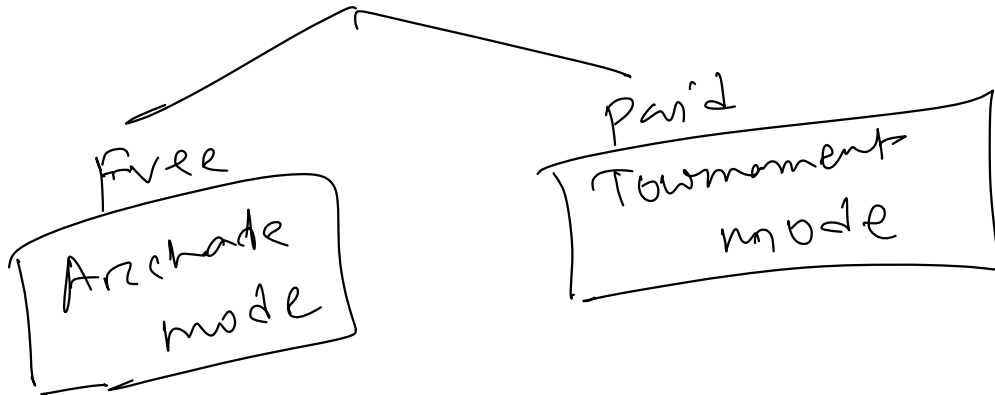
(D)

7. Logic Building

↳ Already established (2020) [H/W]

↳ Newly launched game (2026)

Crane



Income Sources

① Entry passes

② Royalty Cards

③ Ads Hosting

Expenditures

① Self promotion

→ Via YouTube

→ Celeb hiring

② Prize Money

→ Winner

→ Runner up

③ Maintenance

④ Server Hosting

Newly
launched
game

7.2.1 Assumptions (Parameters provided by the company)

In order to proceed with our estimation, we first need to make some basic assumptions that'll help us stick to a specific problem.

- I. Since the market share of this game is relatively small, the number of active users on the platform will be 5k.
- II. 80% of the total active users will be free players. Only the rest 20% players will participate in the paid tournament.
- III. 15% of the combined total users have purchased Royalty Cards that generate around 2.5k in revenue per user.
- IV. The other 85% users haven't purchased any upgrades.
- V. No. of contests per day - Daily 5 arcade games and 1 tournament will be organized to engage more and more players.
- VI. No advertisement will be shown to the tournament players.
- VII. A 30 seconds ad will be shown to the free players whenever they first open the game (every day) in arcade mode.
- VIII. Pricing for the associated companies to host a 30 seconds ad on the platform will be 1 lakh.
- IX. The company is planning to allocate a total amount of 4.5 lakhs/month for advertising their game via YouTube, spending around 15k per day.
- X. To promote the product they might have to hire celebrities as well. So let's say 5 lakhs (one time) will be spent for such promotions.
- XI. Maintenance cost for the gaming application will be something around 3 lakhs/month due to less no. of players.
- XII. To run the servers, cost will be relatively low in the beginning but since we have to host servers for both free & cash players let's keep it around 5 lakhs/month.

7.2.2 Calculations

A. Incoming Cash Flow

- Total no. of active users = 5k (from pt. i)
- No. of paid users = 20% of 5k = 1k (from pt. ii)
- Let the entry price for each game in Tournament mode be x
- Total amount received from users = No. of paid users * No. of tournaments * Entry price per game * No. of days = $1k * 1 * x * 30 = 30k * x$
- Revenue generated from Royalty Card purchasers = 15% of 5k = $(0.15 * 5,000) * 2,500 = 18.75$ lakhs (from pt. iii)
- Revenue generated from ad hosting = No. of ads * No. of days * Cost price for each ad = $1 * 30 * 1$ lakh = 30 lakhs (from pt. vii, viii)
- Total income generated = Income from entry price + Revenue from Royalty Cards + Revenue from ad hosting
 $= 30k * x + 18.75$ lakhs + 30 lakhs = ~~1000~~ $x + 48.75$ lakhs

30k*

B. Outgoing Cash Flow

- Total prize money for a game = prize money for winner + prize money for runner up = $1 + 0.5 = 1.5$ lakhs
- Total prize money for a month with 1 contest per day = $30 * 1 * 1.5 = 45$ lakhs
- Budget for promotions = No. of days * Expenditure per day + Celeb fee = $30 * 15k + 5$ lakhs = 9.5 lakhs (from pt. ix, x)
- Total expenditure = Maintenance + Server Hosting + Promotions + Prize money = $3 + 5 + 9.5 + 45 = 62.5$ lakhs (from pt. xi, xiii)

C. Equating the incoming & outgoing cash amount -

$$30k * x + 48.75 \text{ lakhs} = 62.5 \text{ lakhs}$$

$$30k * x + = (62.5 - 48.75) \text{ lakhs}$$

$$30k * x = 13.75 \text{ lakhs}$$

$$x = 13,75,000 / 30,000$$

$$x = 45 \text{ (approx.)}$$

Outcome: Therefore, the entry price for a single participant, for each game would be Rs. 45/-

iPhone Guessimate

Q. How many iPhones users are there in India at present?

Total pop. = 1B
Kids + senior citizens — excluded (40%)
→ Eligible pop. for iPhone — 60%
70% → 600M = 420M
iPhone market share → 8%
= 8% of 420M = 34M iPhone

users,